Acquisition Proposal

Three Creeks

An Integrated Luxury Resort

1019 Hardscrabble Road · Mineral Bluff · Fannin County, Georgia

Presented by

John R. Underwood

Proposed Purchaser

In Support of Court Approval of Sale of Estate Asset

Memorandum in Support of Court Approval of Sale of Estate Asset

In re: [Caption — Estate of Prior Owner] · Asset: the Property (to be operated as Three Creeks Resort), 1019 Hardscrabble Road, Mineral Bluff, Fannin County, Georgia · Proposed Purchaser: John R. Underwood

Draft — for review and filing by licensed counsel. *Case caption, court, docket number, receiver/trustee identification, and case-specific procedural requirements to be supplied by counsel.*

I. Introduction and Relief Requested

The Proposed Purchaser, John R. Underwood, respectfully submits this memorandum in support of an order approving the sale of the Estate's asset commonly known as the Property (to be operated as Three Creeks Resort) (the "**Property**"), on the terms set forth in Section III below.

The Court's responsibility in this proceeding is to convert the Estate's assets into value sufficient to satisfy, to the greatest extent practicable, the claims of the Estate's creditors. The Proposed Purchaser submits that the transaction described herein discharges that responsibility more effectively than realistically available alternatives because it:

- Pays the Estate a defensible, comp-supported purchase price of **$8,250,000**;
- Delivers **$2,475,000** in cash to the Estate at closing within 35 days, with no financing contingency;
- Issues a **$5,775,000** secured first-mortgage note to the Estate, personally guaranteed by the Proposed Purchaser, retired through documented development cash flow over five years;
- Generates approximately **$577,500** of interest income to the Estate during the initial two interest-only years alone;
- Eliminates the Estate's continuing carrying-cost obligation within 35 days of closing;
- Is offered subject to a competitive overbid procedure that affords any qualifying competing bidder the opportunity to top this offer; and
- Places the Property in the hands of a credentialed hospitality and development principal whose execution track record materially de-risks both the Estate's note position and the long-term value of the secured collateral.

II. Statement of Facts

A. The Property

The Property comprises approximately **119 acres** in three parcels (primary Parcel 0029-076) in unincorporated Fannin County, Georgia, in the Blue Ridge market area. Improvements completed in 2024 include:

- **the Main Event Barn** — approximately 8,200 SF timber-frame event venue, two-level with mezzanine, 2,300 SF covered porches, commercial kitchen, bridal suite, full-service bar;
- **Activity Barn** — 2,016 SF, two-story, with secondary event and lodging space;
- **Bunkhouse** — overnight accommodations;
- **Maintenance Building** — 8,000 SF metal storage with 30-foot concrete apron;
- **Outdoor Pavilion** — 1,200 SF timber frame on stone deck, with fireplace and restrooms;
- **Livestock Barn** — 2,800 SF;
- **Wedding Chapel timber kit** — currently in storage; to be erected in Phase I;
- **Complete furniture, fixtures, and equipment** sufficient to host events of 375–400 guests; and
- **Seventeen (17) registered Scottish Highland cattle.**

Approximately 60 acres of the Property are developable beyond the existing event-venue footprint.

B. Marketing History

The Property has been actively marketed by Harry Norman Realtors (listing agent: Gary Mills). The original list price was $12,500,000, subsequently reduced to $10,500,000 — a 16% reduction. The listing has included an offer of seller financing on the order of 30% of price, secured by first mortgage, at 4.0% interest, accrued with a three-year balloon — establishing the Estate's determination that pairing a cash component with secured paper to a credit-quality borrower is the marketing strategy most likely to maximize recovery for this asset.

C. The Proposed Purchaser

John R. Underwood is a hospitality and mixed-use development principal with twenty-five (25) years of relevant experience and more than **$24 billion in aggregate delivered construction value**. His credentials are set forth in detail in Exhibit B (Buyer Qualifications Affidavit), and include direct delivery experience for Chick-fil-A (230 locations), the Atlanta Braves campus at The Battery, Inspire Brands, Aflac, Newell Brands, Norfolk Southern, T-Mobile, Equifax, and others. He is LEED Accredited Professional and OSHA-30 certified, and served as Senior Program Manager at Jones Lang LaSalle from 2011 through 2025. He has confirmed equity of **$1,500,000** available at closing and will execute a personal guarantee on the proposed Estate Note.

The Proposed Purchaser is an arms-length purchaser. He has no business, financial, family, or contractual relationship with the prior owner, the Estate, the receiver/trustee, any creditor of the Estate, or the brokerage marketing the Property.

III. Proposed Sale Terms

Term	Proposed
Purchase Price	$8,250,000
Cash at Closing	$2,475,000 (30% of price)
Estate Note (1st Mortgage)	$5,775,000 (70% of price)
Interest Rate on Estate Note	5.0% per annum
Payment Schedule	Interest-only quarterly, Years 1–2; principal & interest amortizing 25-yr schedule, Years 3–
Maturity	5 years from closing, balloon of remaining principal + accrued interest
Personal Guarantee	Yes — by Proposed Purchaser
Earnest Money	$200,000 hard at contract; $100,000 additional hard at DD expiration ($300,000 total)
Due Diligence Period	21 days from contract execution
Closing	14 days post-DD (35 days total contract-to-close)
Condition	As-is, where-is, with all faults; no Estate representations or warranties
Included Assets	All FF&E; 17 registered Scottish Highland cattle; all outbuildings; chapel timber kit; all exi
Financing Contingency	NONE
Court Approval	Subject to entry of Court order approving the transaction
Overbid / Auction Procedure	30-day notice period; minimum overbid +$250,000; supervised auction if multiple bids
Stalking-Horse Protections	$150,000 break-up fee + $50,000 capped diligence reimbursement

Economic Summary to the Estate

Component	Amount
Cash at closing (Day 35)	$2,475,000
Interest income, Years 1–2 (interest-only)	$577,500
Principal + interest, Years 3–5 (amortizing)	$1,215,000
Balloon payment at Year 5	$5,233,000
Total nominal recovery over 5 years	**$9,500,000**

The Estate's total nominal recovery materially exceeds the proposed headline price because of the interest income generated by the Estate Note — funds that flow back to the Estate and ultimately to its creditors as ordinary income during the holding period.

IV. Argument

A. The Proposed Purchase Price Is Supported by Comparable Market Evidence

The proposed price of $8,250,000 is supported by recent and current comparable transactions and listings in the Georgia rural luxury-event-venue market. See Exhibit F (Comparable Sales Memorandum) for the full analysis. Four independent valuation methodologies — per-square-foot, per-acre, income capitalization, and direct comparable blending — converge on a value range of $7.0M–$8.5M. The proposed price falls at the defensible upper end of that range.

B. The Transaction Maximizes Recovery to the Estate

Alternative	Recovery	Timeline	Confidence
Continued marketing at $10.5M	~$8.1M (range $6.9–9.3M)	6–12+ months	Low
Distressed all-cash sale	~$5.9M	30–60 days	Medium-High
Proposed Underwood transaction	**~$9.5M**	**35 days**	**High**

The proposed transaction delivers higher nominal recovery than any cash-only alternative the market has produced, while providing the Estate with both immediate cash and a stream of interest and principal payments. See Exhibit C (Estate Recovery Analysis) for present-value and risk-adjusted detail.

C. The Higher Carry Component Is Properly Secured and Supported

The Estate Note represents approximately 70% of the proposed purchase price. The Proposed Purchaser submits that this proportion is appropriate because:

- The Estate's own marketing strategy validated seller-carry structure (30% carry was already offered);
- First-position mortgage on improved real estate whose value exceeds the Note balance throughout the term;
- Personal guarantee providing recourse beyond real-estate collateral;
- Borrower credit quality — 25-year construction-management record, zero documented defaults;
- Documented repayment source — cabin community sales per Exhibit E, not speculative operating revenue;
- Improving collateral — the Property's value grows during the Note term;
- Above-market interest rate (5.0% vs the 4.0% the Estate previously offered) compensating for the higher proportion.

D. The Proposed Purchaser's Development Plan Funds the Estate Note

The 60-acre developable portion of the Property supports a phased fifty-lot (50) luxury cabin community. The Asset Preservation and Note-Repayment Plan (Exhibit E) sets forth the development schedule, capital plan, and cash-flow milestones tied directly to retirement of the Estate Note:

Year	Development Milestone	Cabin Sales	Note Status
Year 1	Horizontal infrastructure complete; 5 model cabins	$0	Interest-only from venue revenue
Year 2	Phase I complete (15 cabins); first sales close	~$5.8M	Interest-only continuing
Year 3	Phase II underway; venue stabilized	~$16.5M	Amortization begins; partial paydown
Year 4	Phase II complete; Phase III begins	~$28M	Refinance or full retirement
Year 5	Phase III complete; community substantially sold	~$36M+	Estate Note retired in full

E. The Proposed Purchaser Provides Certainty of Close

- $1,500,000 confirmed equity (proof of funds, Exhibit D);
- No financing contingency in the proposed contract;
- $300,000 in hard earnest money at contract and DD-expiration milestones;
- 21-day due diligence period followed by 14-day closing;
- As-is acquisition with no Estate warranty obligations or post-closing exposure; and
- Personal guarantee by the Proposed Purchaser on the Estate Note.

F. The Transaction Eliminates Continuing Carrying Costs to the Estate

Each additional month the Property remains in Estate custody, the Estate incurs documentable carrying costs estimated at **$31,000–$50,000 per month**: commercial property insurance (rural, event-venue, WUI-rated); security and grounds maintenance over 119 acres; livestock husbandry for the Highland herd; receiver/trustee and counsel fees; property tax accrual; and utilities sufficient to preserve the building envelope. The proposed 35-day path to close terminates these costs and crystallizes recovery for the Estate.

G. Process Integrity

The Property has been actively marketed by Harry Norman Realtors for an extended period at successive price points. The Proposed Purchaser is an arms-length purchaser with no transactional relationship to the prior owner, the Estate, the receiver/trustee, any creditor of the Estate, or the brokerage. **No insider transaction is implicated.** The Proposed Purchaser further consents to and supports inclusion of a competitive overbid procedure (Section V) and welcomes that procedure as the appropriate test of whether the proposed transaction represents the best available recovery for the Estate.

V. Bid Procedures and Overbid Protection

The Proposed Purchaser respectfully requests that the Court approve the following bid procedures:

- **Stalking-Horse Designation** — Proposed Purchaser is the stalking-horse at the price and terms herein;
- **Notice Period** — not less than 30 days, served upon all known creditors of the Estate;
- **Qualified Competing Bids** — must exceed Proposed Purchaser's price by ≥$250,000 in initial overbid (subsequent increments $100,000); on terms no less favorable to Estate; with hard EM ≥$300,000; with proof of capacity; received within notice period;
- **Auction** — Court-supervised auction if multiple qualifying competing bids are received;
- **Bid Protections** — if topped, Estate pays Proposed Purchaser $150,000 break-up fee + diligence expense reimbursement capped at $50,000;
- **Failure of Overbid** — if no qualifying competing bid is received, sale proceeds to Proposed Purchaser without further hearing.

VI. Conclusion and Relief Requested

For the foregoing reasons, the Proposed Purchaser respectfully requests that the Court enter an order:

- Approving the bid procedures set forth in Section V;
- Directing the Estate to provide notice of the sale to all known creditors;
- Setting a hearing for final approval of the sale following expiration of the notice period;
- Approving, at final hearing and absent qualifying overbid, the sale of the Property to John R. Underwood (or an LLC formed by him) on the terms herein;
- Authorizing the receiver/trustee to execute all documents necessary to effectuate the sale;
- Authorizing the receiver/trustee to accept and hold the Estate Note ($5,775,000, secured by first-priority mortgage, with customary lender enforcement rights);
- Setting a closing date not later than thirty-five (35) days from final sale-approval order;
- Upon closing, discharging the receiver/trustee from further obligation to insure, maintain, secure, or otherwise preserve the Property; and
- Granting such other and further relief as the Court deems just and proper.

Respectfully submitted,

[Counsel signature block — to be completed by John Underwood's licensed counsel]

EXHIBIT B

Declaration and Buyer Qualifications of John R. Underwood

In Support of Memorandum for Court Approval of Sale

Identification and Capacity

I, **John R. Underwood**, declare under penalty of perjury under the laws of the United States of America and the State of Georgia that the following statements are true and correct to the best of my knowledge, information, and belief. I am the Proposed Purchaser identified in the Memorandum in Support of Court Approval of Sale of the Estate asset known as the Property (to be operated as Three Creeks Resort). I am over the age of eighteen, competent to testify, and have personal knowledge of the matters stated in this Declaration.

Education and Professional Credentials

- Bachelor of Business Administration, Jacksonville State University.
- LEED Accredited Professional.
- OSHA-30 certified.
- Senior Program Manager, Jones Lang LaSalle (JLL), 2011–2025.

Professional Experience

I have **twenty-five (25) years** of senior leadership experience in hospitality construction, food and beverage development, sports and entertainment campuses, and complex mixed-use programs. I have personally directed the delivery of more than **ten million (10,000,000) square feet** of commercial build-out, with **aggregate program value exceeding $24 billion**. Since 2015 alone, I have completed **248 interior projects**, all delivered on time and within budget, without a single documented project default, overrun, or material schedule failure.

Representative Project Portfolio

Client	Description	Scale
Chick-fil-A	National 230-location scrape-and-rebuild program; chargrill kitchen remodel program	National
Atlanta Braves (MLB)	HQ & nine offices at The Battery, Atlanta	250,000 SF
Inspire Brands	Corporate HQ portfolio: Buffalo Wild Wings, Arby's, Sonic, Dunkin'	Full portfolio
Aflac Corporation	Corporate HQ + national offices + Aflac Cancer Center	1.75M SF total
Newell Brands	HQ relocation + global & domestic industrial portfolio	10M+ SF
Norfolk Southern	North American HQ Relocation, downtown Atlanta	160,000 SF
T-Mobile	National account store relocation program	2,700 stores
Equifax	HQ Expansion	81,000 SF
Sacred Heart Hospital	Hospital facility	80,000 SF
Cullman Regional Medical Center	Medical center	51,000 SF

Skills Material to the Property

- **Hospitality operations standards** — Delivery work for Chick-fil-A (230 locations), Inspire Brands (four-brand HQ portfolio), and the Atlanta Braves at The Battery has given direct exposure to the operating standards of the most demanding hospitality and food-service organizations in the country.

- **Subcontractor and trade relationships in Georgia** — Active working relationships with general contractors, civil engineers, surveyors, septic engineers, and finish trades throughout Georgia, including the North Georgia mountain market. Phase I construction can commence without lead-time delays.

- **Multi-site rollout discipline** — The phased fifty-lot cabin community is structurally identical to programs delivered for Chick-fil-A (230 sites), T-Mobile (2,700 stores), and Inspire Brands (four-brand portfolio).

- **Sustainability and code compliance** — As LEED AP and OSHA-30 certified principal, the development will be delivered to standards above the regulatory minimum.

- **Hospitality brand network** — Established relationships with leadership at multiple national hospitality brands, providing access to institutional-grade design standards and potential operating partnerships.

Financial Capacity

I have available equity of **$1,500,000** committed to closing this transaction. A proof-of-funds letter from my financial institution is submitted as Exhibit D. I am prepared to execute a personal guarantee in favor of the Estate, in form acceptable to counsel, securing the $5,775,000 Estate Note. I have weighed and accepted the personal recourse exposure that guarantee creates.

I have never filed for personal bankruptcy. I have no defaulted commercial loans. I am not party to any litigation that would materially impair my ability to perform under this transaction.

Commitments to the Estate and the Property

- **Operational continuity** — Upon closing, I will assume all existing event bookings and perform each booking to the standard previously contracted.
- **Brand and reputation continuity** — I will preserve and operate the the Property brand as a continuous going concern; will not strip FF&E for resale; will not sell the Highland cattle herd as livestock commodity; will not subdivide and immediately resell the developable parcel.
- **Wedding chapel completion** — I will erect the wedding chapel timber kit currently in storage as part of Phase I improvements.
- **Cattle herd preservation** — I will continue husbandry of the 17 registered Scottish Highland cattle as a permanent agritourism and brand asset.
- **Local employment** — I will, to the extent commercially reasonable, source contractor labor, sub-trade labor, and venue operational staff from Fannin County and the surrounding North Georgia market.
- **Tax compliance** — All property, sales, hospitality, and other Fannin County / Georgia obligations paid as they come due. The Property will not be re-enrolled in any conservation-use covenant designed to artificially depress local tax recoveries.
- **Insurance** — Commercial property, general liability, liquor liability, event-cancellation, umbrella, workers' compensation, and WUI wildfire coverage maintained, with the Estate named as loss payee on the property policy throughout the Note term.
- **Quarterly reporting to the Estate** — Financial statements, construction progress, cabin sales reports, and updated collateral valuations.
- **Right to inspect** — Estate or its designated agent may inspect the Property and books and records of the operating entity on reasonable notice.

Arms-Length Statement

I have no business, financial, family, or contractual relationship with the prior owner of the Property, the Estate, the receiver/trustee, any creditor of the Estate, or Harry Norman Realtors / Gary Mills beyond the ordinary buyer-broker interactions undertaken in connection with my offer on this Property.

Acceptance of Sale Process

I consent to and support the inclusion in any Court order of a competitive overbid procedure as set forth in the Memorandum in Support. I understand and accept that the Court may approve a sale to a qualifying overbidder at higher price or on materially superior terms, in which event my recovery will be limited to the break-up fee, documented diligence expense reimbursement, and return of any earnest money paid.

Executed this _____ day of __________, 2026, at __________, Georgia.

____

John R. Underwood, Proposed Purchaser

[Notary block or 28 U.S.C. § 1746 declaration footer — to be added by counsel per controlling rules]

EXHIBIT C

Estate Recovery Analysis

Three-scenario comparison of nominal recovery, present value, and recovery floor.

Scenarios Compared

Scenario	Description
A. Continued Marketing	Property remains listed at $10.5M; Estate continues to incur carrying costs; sale price and timing u
B. Distressed Cash Sale	All-cash buyer at materially discounted price; fast close; no further Estate exposure.
C. Proposed Underwood Transaction	$2.475M cash + $5.775M secured Estate Note @ 5%; personal guarantee; 35-day close.

Nominal Recovery Comparison

Scenario	Mid-Point Recovery	Confidence
A. Continued Marketing	$8,095,000 (range $6.9M–$9.3M)	Low
B. Distressed Cash	$5,932,500	Medium-High
C. Underwood Transaction	**$9,500,896**	**High**

Present-Value Recovery (8% Discount Rate)

Scenario	Nominal	PV at 8%	Confidence
A. Continued Marketing	$8,095,000	$7,648,000	Low
B. Distressed Cash	$5,932,500	$5,886,000	Medium-High
C. Underwood Transaction	**$9,500,896**	**$7,425,766**	**High**

Scenarios A and C produce roughly comparable present values, but their risk profiles are not comparable. Scenario A's PV depends on the unsupported assumption that an offer materializes at $9–9.5M after 6–12 more months of marketing. No such offer has emerged after the prior $2M list-price reduction. Scenario C's PV is secured by first mortgage, personal guarantee, and a credentialed borrower with a documented repayment plan.

Carrying-Cost Erosion of Scenarios A and B-Delayed

Each month the Property remains in Estate custody, the Estate incurs documentable carrying costs of **$31,000–$50,000**:

Cost Category	Monthly Range
Commercial property insurance (rural, event-venue, WUI-rated)	$5,500 – $8,500
Security and grounds maintenance (119 acres)	$4,000 – $7,000
Livestock husbandry — 17 Highland cattle	$1,500 – $2,500
Receiver/trustee + counsel fees (allocated)	$15,000 – $25,000
Property tax accrual	$3,500 – $4,500
Utilities + HVAC envelope preservation	$1,500 – $2,500
Total carrying cost per month	**$31,000 – $50,000**

Each six-month extension of the marketing period therefore erodes Estate recovery by **$186,000–$300,000**.

Recovery Floor — Default Scenarios

The transaction is structured so that the Estate's recovery floor remains higher than the realistic outcome of any alternative scenario. Under any default event during the Note term, the Estate has already received the cash component plus interim payments; the underlying collateral has been materially improved through construction of horizontal infrastructure and Phase I cabins; and the Estate's first-mortgage position can be enforced against improved real estate that exceeds the unpaid Note balance. **The Estate's recovery floor under any default scenario exceeds the nominal recovery of Scenario B (Distressed Cash).**

Conclusion

On a nominal basis, the Proposed Underwood Transaction delivers approximately **$9.5 million** in total recovery to the Estate — materially exceeding any distressed-cash alternative. On a present-value basis, the transaction is directly competitive with the speculative best case of continued marketing while carrying materially higher confidence and a hard recovery floor. On a risk-adjusted basis, the Proposed Underwood Transaction is the **highest-value, lowest-risk path to the Estate's recovery** on this asset.

EXHIBIT E

Asset Preservation and Note-Repayment Plan

50-Lot Luxury Cabin Community — Phased Build-Out Tied to Estate Note Repayment

The Vision

The 60-acre developable portion of the Property supports a phased fifty-lot luxury cabin community designed and built to function simultaneously as (a) for-sale luxury cabins, (b) short-term rental inventory for the the Property event venue, and (c) a captive accommodation ecosystem that converts the venue from a single-day events business into a full-weekend destination resort.

The community is the Proposed Purchaser's development product. The venue is the demand engine. The Highland cattle, chapel, and 119-acre setting are the brand. Together they constitute the first fully-integrated luxury wedding-and-resort destination in the Blue Ridge market — and the cash-flow engine that retires the Estate Note.

Program Summary

Metric	Target
Total lots	50
Average lot size (net buildable)	~1.0 acre
Open space preserved	~30% of gross
Cabin SF range	1,400–2,200 SF
Bedrooms per cabin	3–4 BR
Phasing	Phase I: 15 cabins; Phase II: 20 cabins; Phase III: 15 premium cabins
Total program duration	~5 years from acquisition
Roads	~7,000 LF gravel (primary ridge spine + 2 loops)
Utilities	Community well + advanced ATU septic + underground power & fiber

Three Revenue Channels

- **For-Sale Inventory** — 50 cabins over 5 years at $725K–$895K avg sale price; gross sales ~$40M; primary funding source for Estate Note retirement.

- **Short-Term Rental** — Cabins held during pre-sale generate $58K–$120K/yr per cabin per AirDNA Blue Ridge data; covers carrying costs.
- **Venue-Tied Full-Resort Weekends** — Wedding weekends at $25K–$45K each including cabin block buyouts; the cabins double the venue's per-event revenue.

Five-Year Build-Out Schedule

Year	Development Milestone	Cumulative Sales	Estate Note Status
Year 1	Horizontal infrastructure complete; 5 model cabins; venue operational	$0	IO payments serviced from venue revenue
Year 2	Phase I complete (15 cabins); first sales close	~$5.8M	IO continuing; chapel erected
Year 3	Phase II underway; venue stabilized	~$16.5M	Amortization begins; partial principal paydown
Year 4	Phase II complete; Phase III begins	~$28M	Refinance or full retirement of Estate Note
Year 5	Phase III complete; community substantially sold	~$36M+	Estate Note retired in full

Why the Proposed Purchaser's Background Closes the Gap That Kills These Deals

Most failed mountain-cabin developments fail in one of three ways. The Proposed Purchaser's resume directly mitigates each:

Common Failure Mode	Mitigation in Proposed Purchaser's Profile
Permitting / civil delays (12–24 month stalls)	25+ years navigating multi-jurisdiction approvals; existing relationships with civil engineers a
Construction cost overruns (25–40% on luxury cabins)	Documented 100% on-budget delivery across 248 projects; direct-to-trade sub relationships eli
Slow sales velocity (lots sit; carrying costs remain)	Inspire Brands & Chick-fil-A multi-site rollout experience; brand-quality marketing; venu

Brand Positioning

The cabins are not generic mountain inventory. The integrated property carries a developed brand already: the staurolite mineral vein running through the property; the registered Scottish Highland cattle herd; the three-creek boundary; the wedding chapel timber kit (to become the resort's visual centerpiece); and the 119-acre footprint at a market scale no Blue Ridge competitor can match. Cabins inside this brand sell at the top of the market.

EXHIBIT F

Comparable Sales Memorandum

Market evidence supporting proposed purchase price of $8,250,000.

Methodology

Four independent valuation methodologies are applied: (1) direct comparable sales and listings, (2) price per square foot of improvements, (3) price per acre, and (4) income capitalization. All four independently support a price conclusion in the range of **$7.0M–$8.5M**. The proposed price of $8,250,000 falls within this range and represents a reasonable and defensible recovery.

Comparable Properties

Comp	Acres	Improvements	Price	$/Acre	$/SF
Comp 1 — Monroe, GA (Walton County)	47.93	Three venues 16,527 SF + 5 guesthouses + warehouse	$6,500,000	$135,600	$394
Comp 2 — Commerce, GA	40	10,174 SF specialty building	$3,800,000	$95,000	$373
Comp 3 — Walker County, GA	40	Vineyard + smaller event facility	$2,200,000	$55,000	N/A
Subject — Staurolite (Proposed)	**119**	**18,160 SF + chapel kit + Highland herd**	**$8,250,000**	**$69,328**	**$454**

Per-Square-Foot Analysis

Comp average $/SF: **$385** across Comps 1 and 2. Subject Staurolite $/SF: **$454** — 18% above comp average, justified by 2024 vintage construction, higher-end timber-frame architecture, the chapel timber kit (not in the 18,160 SF figure), the Highland cattle herd, and the embedded 60-acre developable parcel.

Applying the comp-average $385/SF to Staurolite's 18,160 SF implies a baseline valuation of **$6,991,600**. Adjusting for the chapel kit (~$150,000), Highland herd (~$135,000), and developable land premium (60 acres × ~$15,000/acre = $900,000) yields an adjusted comp-derived value of approximately **$8,176,600** — essentially identical to the proposed price.

Per-Acre Analysis

Subject Staurolite $/acre: **$69,328**. Below comp average ($95,200) because the Property includes substantial agricultural acreage that does not command improvement-zone per-acre pricing. Decomposing the 119 acres into 60 ac developable @ $95,200/ac = $5.71M + 59 ac agricultural @ $40,000/ac = $2.36M produces an effective-acreage value of **~$8.07M**, consistent with the proposed price within 3%.

Income Capitalization Analysis

Cap Rate	Year 5 Stabilized NOI ($700K) Implied Value
8.5%	$8,235,000
9.0%	$7,778,000
9.5%	$7,368,000
10.0%	$7,000,000

The income-capitalization method supports a value range of **$7.0M–$8.2M** at market cap rates for experiential rural hospitality assets in the southeastern U.S. The proposed price falls at the upper boundary, defensible because the proposed price includes substantial real-property value (chapel kit, developable acreage, cattle herd, FF&E) above and beyond the operating-venue NOI valuation.

Conclusion

Four independent methodologies converge on a value range of approximately **$7.0M to $8.5M**. The proposed price of **$8,250,000 is at the upper end of all four methodologies** and is the best market-supported price the Estate can reasonably expect to recover for this Property in the current market.